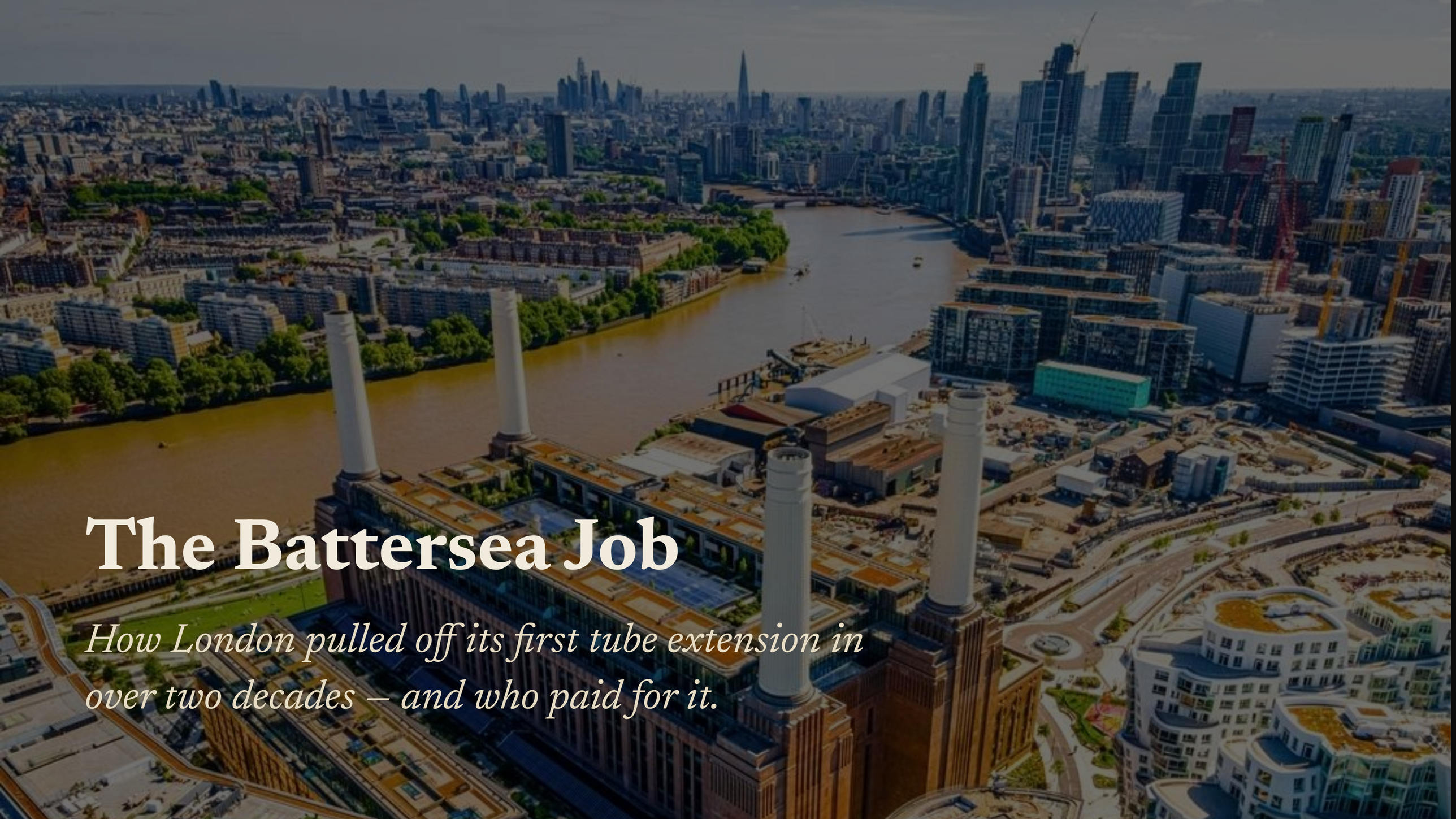


The Battersea Job

How London pulled off its first tube extension in over two decades — and who paid for it.

June *2011*

A letter to the Treasury.

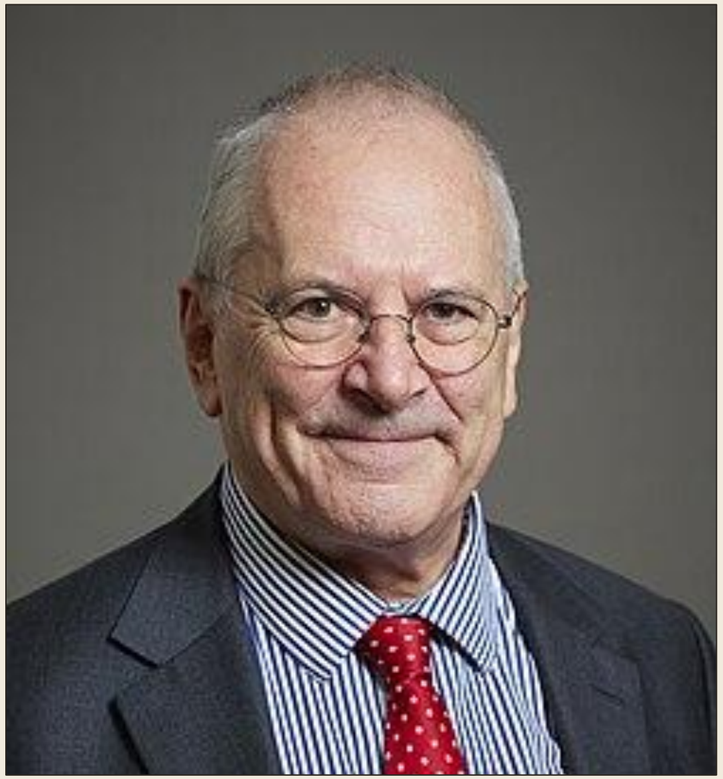
Greater London Authority
Transport for London
London Borough of Wandsworth

CONFIDENTIAL

27 June 2011

CO-SIGNATORIES

One letter. Three letterheads. *Different parties — same ask.*



Peter Hendy

Commissioner, Transport for London

TFL



Edward Lister

Outgoing leader, Wandsworth → Boris Johnson's Deputy Mayor

CONSERVATIVE



Steve Reed

Leader, London Borough of Lambeth

LABOUR

THE ASK

Borrow **£1 billion** *against a tube line that ~~exists~~ doesn't exist yet.*

TERM	REPAID FROM	UNDERWRITER
25 years	future business rates	none — yet

THE DESTINATION

Three kilometres, two stations, a derelict power station.

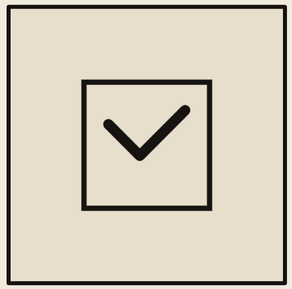
1983
CLOSED

4
FAILED SCHEMES



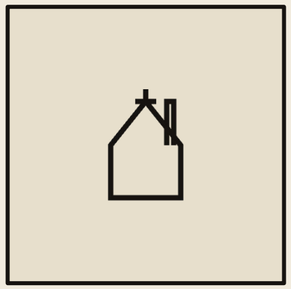
BY 2012

The pieces were *lining up.*



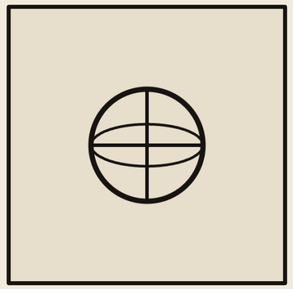
The planning consent

Wandsworth, Nov 2010 — a tube commitment bolted in.



Two boroughs

Wandsworth and Lambeth — willing to back the financing.



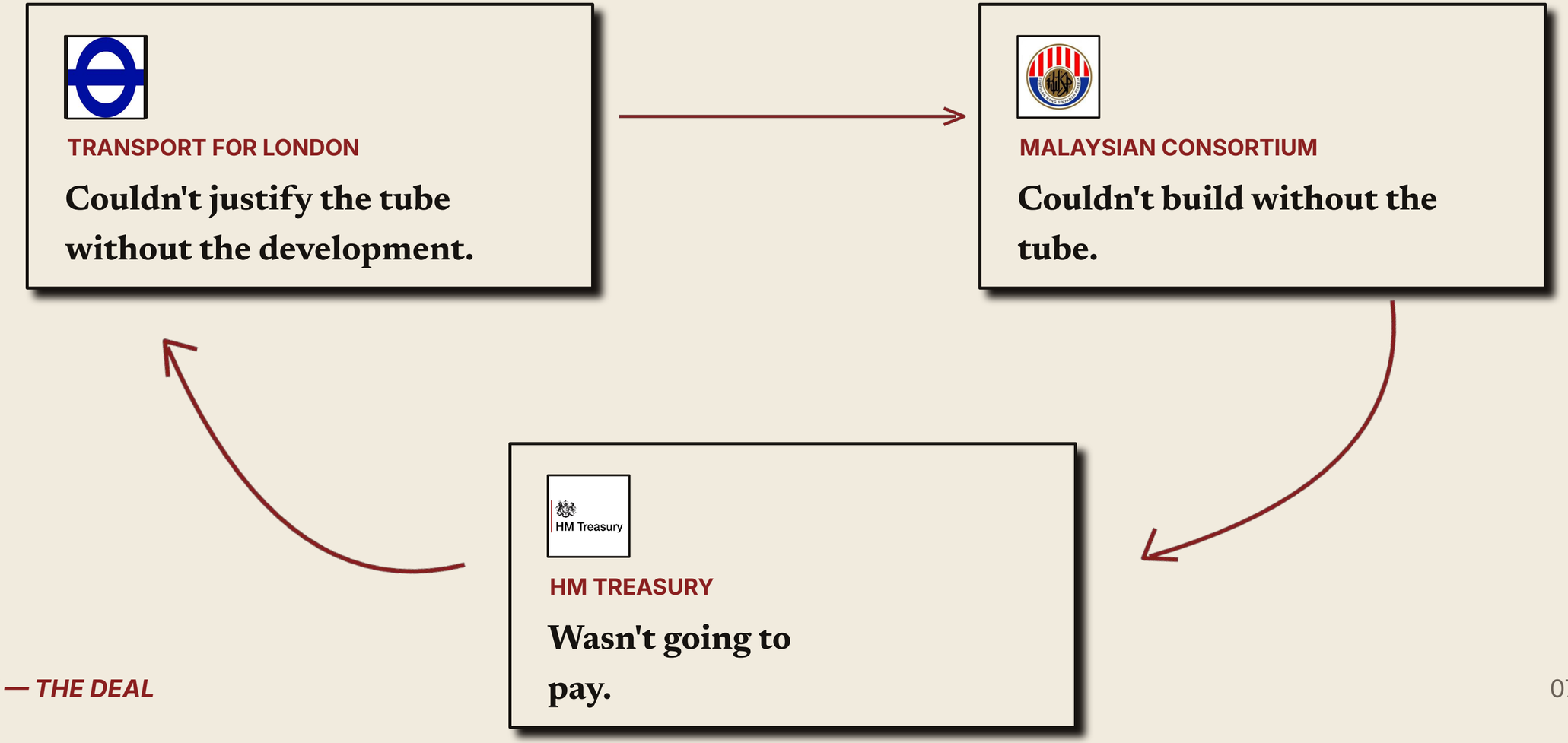
A Malaysian consortium

Sime Darby + SP Setia + EPF — bought the wreckage.

£400m

THE DEADLOCK

A chicken-and-egg problem.



T.I.F.

Tax · Increment · Financing

IN USE IN CALIFORNIA SINCE

1952

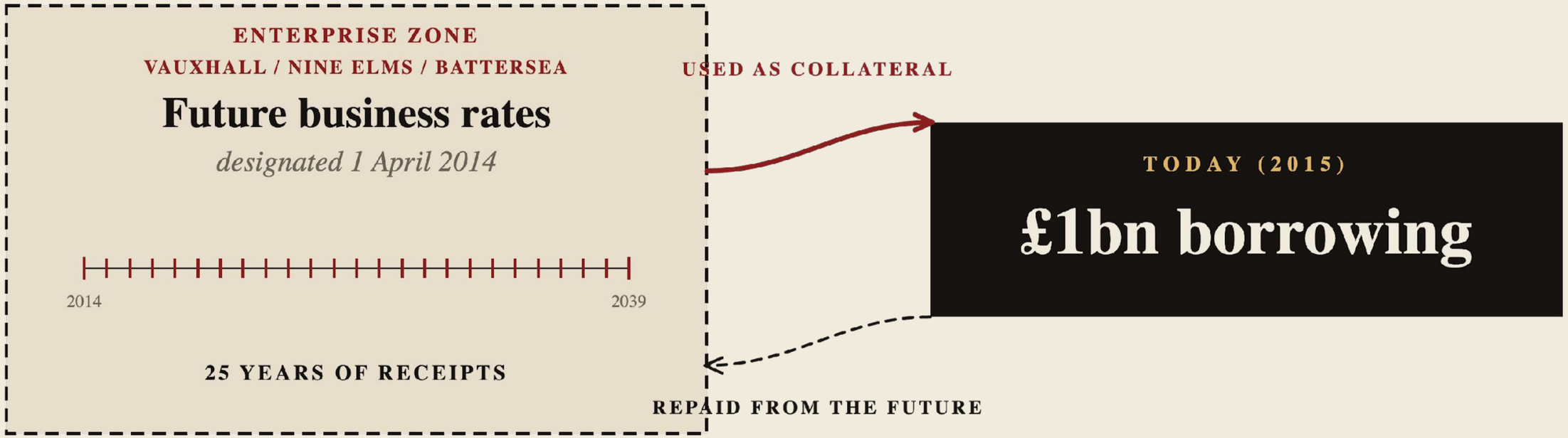
NOT IN ENGLISH LAW

~~T.I.F~~

No statute. No precedent. **So the team had to build a workaround.**

THE WORKAROUND

Enterprise Zone business rates retention, *bent into TIF shape.*



THE INSTRUMENTS

Two firsts. Both delivered *May 2015.*

GREATER LONDON AUTHORITY

The Bond

First inflation-linked bond by a UK local authority. *Sole investor: Rothesay Life.*

£200m

CPI + 0.34% · 25 yrs

HM TREASURY

The Guarantee

Under the UK Guarantees Scheme. *A contingent liability — never called on.*

£750m

contingent · backstop

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The tube opened on time.

£1.1bn
FINAL COST

–£160m
UNDER REVISED BUDGET

June

2017

Same site, same summer. Two things happened on opposite sides of a closed door.

BEHIND THE DOOR — A DEED OF VARIATION

Wandsworth Council *signed.*

ORIGINALLY AGREED

636

AFFORDABLE HOMES

15%

CUT TO

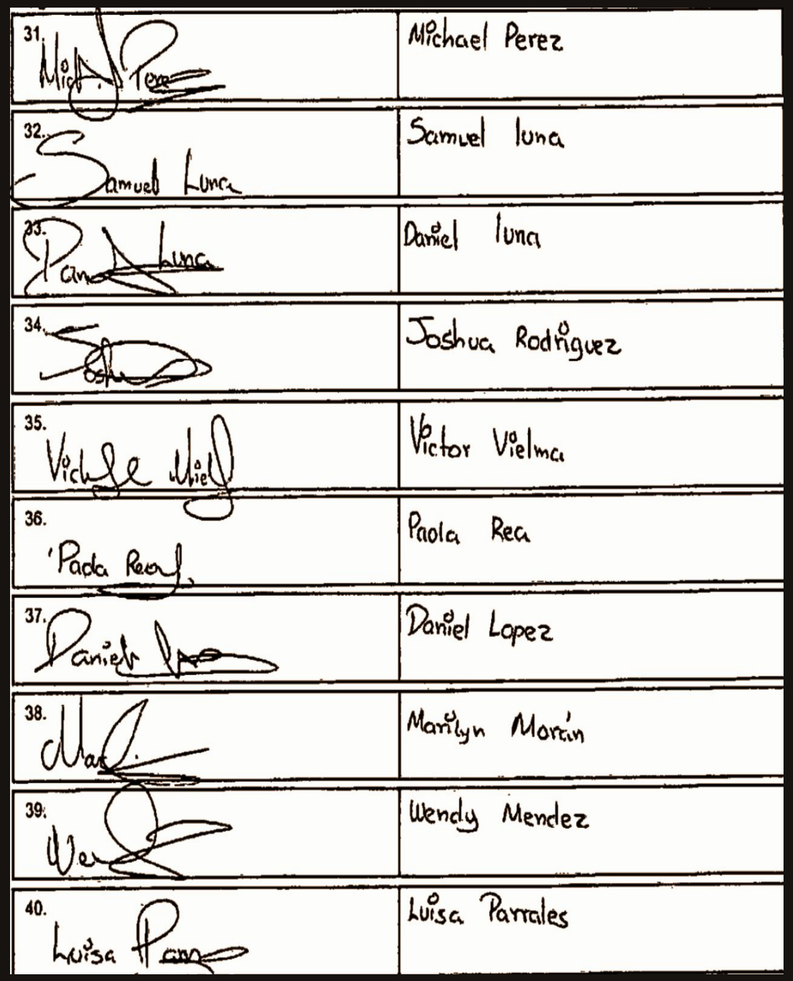
AFTER VARIATION

386

AFFORDABLE HOMES

9%

"The numbers had got tight." — the developer's line.



31.	Michael Perez
32.	Samuel Luna
33.	Daniel Luna
34.	Joshua Rodriguez
35.	Victor Vielma
36.	Paola Rea
37.	Daniel Lopez
38.	Marilyn Martin
39.	Wendy Mendez
40.	Luisa Parrales

OUTSIDE THE DOOR

21,000

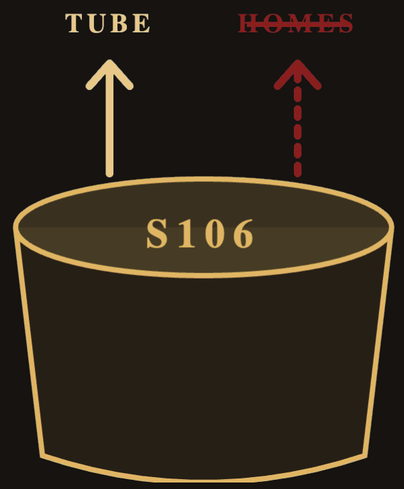
SIGNATURES OPPOSING THE CUT

Aydin Dikerdem. A young opposition councillor.

Sadiq Khan said the cut was **"wholly unacceptable"** *– and that he had no powers to intervene.*

THE MECHANISM — SECTION 106

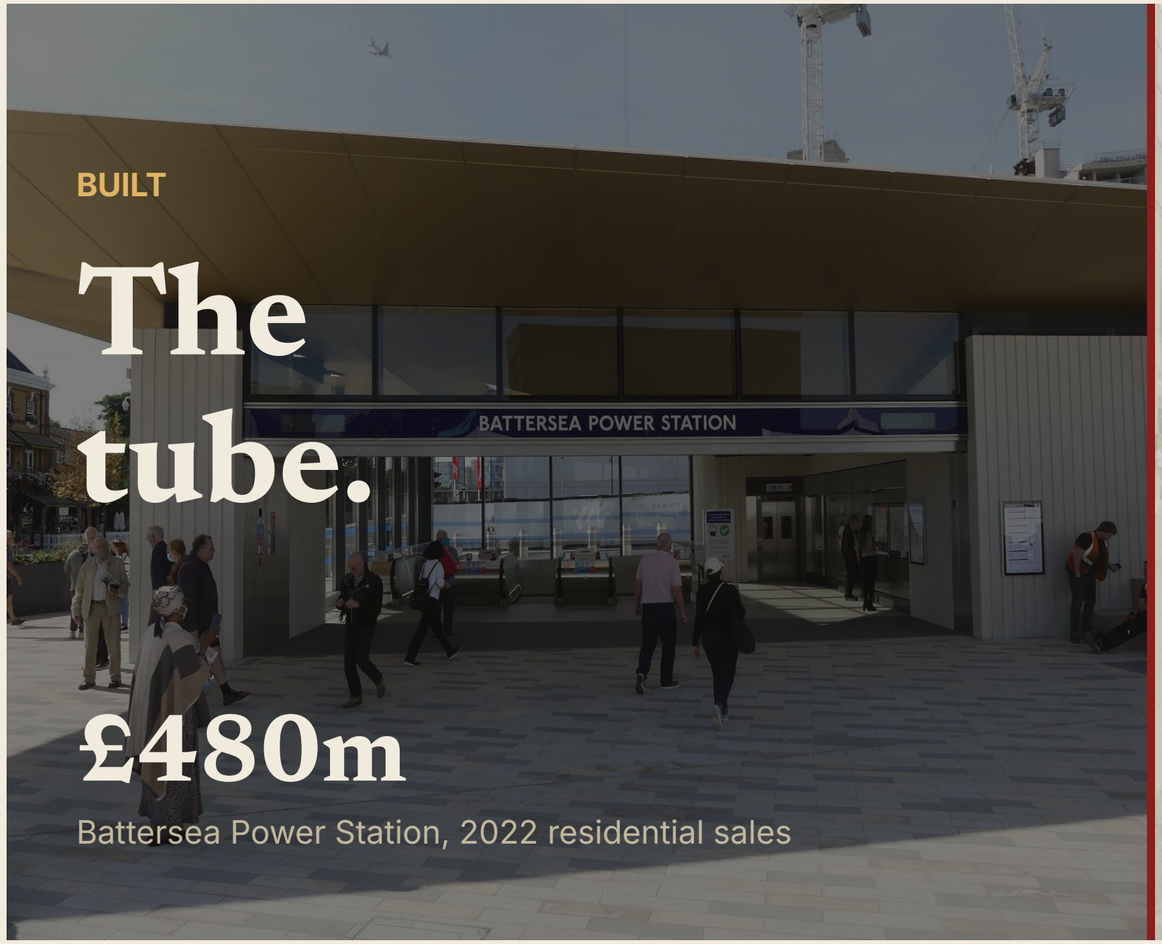
One pot. Two demands. **The tube was what got paid.**



SECTION 106 — DEVELOPER OBLIGATIONS

FIVE YEARS ON

The tube got built. *The 250 homes didn't.*



BUILT

The tube.

£480m

Battersea Power Station, 2022 residential sales

NOT BUILT

250 homes.

The affordable shortfall from the variation.

TWO LEDGERS

Financially, the deal worked. *On the housing side, less so.*

FINANCIAL

Worked.

£750m guarantee never called on. Bond on track.

PAID

HOUSING

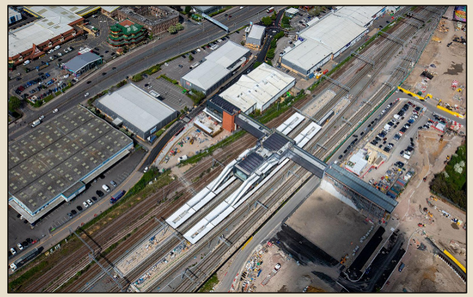
Less so.

The affordable obligation was cut by 250 homes. *Peabody back-filled part of the shortfall in 2018 – with public money.*

SHORT

THE QUESTION I KEEP COMING BACK TO

Why hasn't anything *at this scale* followed?



Brent Cross West

Barnet, December 2023. The Treasury wrote a grant instead — no Battersea-style TIF mechanism re-stitched.

TREASURY GRANT



Bakerloo Extension

Lewisham → Hayes. The plan that's been on the wall since the 1930s.

UNFUNDED



Old Oak Common Redevelopment

Wider OPDC regeneration substantially unfunded. HS2 station still anchors the site.

BARELY FUNDED



Scotland's TIFs

Edinburgh waterfront, Glasgow Buchanan Quarter — the pilots mostly stalled or restructured.

MOSTLY STALLED

BATTERSEA WAS A ONE-OFF

A Mayor. A Chancellor. A landmark. A lost petition.



The bet paid out. The question is who paid in.

WHAT WE GOT

A tube extension paid for by capturing the value of the development it created.

WHAT WE'D WANT NEXT TIME

To capture the value without putting affordable homes on the same bill.